

Financial Analysis and Valuation

Slide 1. Financial Analysis: Growth, Margins, Losses, and Cash Burn

- Revenue increased from **\$8.827 million in 2024** to **\$24.587 million in 2025**, implying **178.5% growth** from a small base.
- Gross margin was strong at **82.6% in 2025**, supported by **\$20.306 million** of gross profit.
- Operating expense intensity remained very high: **R&D was 206.3% of revenue** and **SG&A was 284.5% of revenue** in 2025.
- Operating income was **-\$100.368 million** and net income was **-\$355.062 million** in 2025.
- Free cash flow was **-\$76.289 million**, implying cash burn of **\$76.289 million**.

Suggested Chart/Table

Use a combined historical table or chart showing revenue, gross margin, R&D/revenue, SG&A/revenue, operating income, and free cash flow for 2020-2025.

Speaker Notes

D-Wave has a high-gross-margin revenue profile, but the company is still far from normalized profitability. The 2025 revenue step-up is meaningful, yet the company remains early-stage. The central issue is operating expense intensity: R&D and SG&A materially exceed revenue, so the investment case depends on future commercialization and operating leverage rather than current profitability.

Slide 2. Forecast: Revenue Growth, Margin Path, and Operating Leverage

- The forecast uses fiscal **2025** as the base year and projects revenue from **\$44.257 million in 2026** to **\$255.418 million in 2032**.
- Revenue growth decelerates from **80.0% in 2026** to **18.0% in 2032** as the revenue base expands.
- Gross margin declines from **78.0% in 2026** to **66.0% in 2032**, while remaining structurally high.
- Operating leverage is driven by lower expense intensity: R&D/revenue declines from **150.0% to 30.0%**, and SG&A/revenue declines from **200.0% to 35.0%**.
- EBIT turns positive in **2032** at **\$2.554 million**, but free cash flow remains negative at **-\$15.708 million**.

Suggested Chart/Table

Use a forecast bridge table for 2026-2032 showing revenue, revenue growth, gross margin, R&D/revenue, SG&A/revenue, EBIT, and free cash flow.

Speaker Notes

The forecast assumes continued commercialization but does not assume immediate profitability. Revenue growth slows over time, while operating expense ratios decline meaningfully. This creates a path toward operating leverage, but free cash flow remains negative through 2032, reinforcing that D-Wave's valuation depends on future scale rather than current earnings power.

Slide 3. Valuation: EV/Sales Primary Method and DCF Cross-Check

- EV/Sales is the primary method because current earnings, EBITDA, and free cash flow are not representative of normalized profitability.
- The raw quantum peer median EV/Sales LTM is **386.741x**, but it is not used directly because peer multiples are distorted by very small revenue bases.

- The Base case applies a capped **40.0x EV/Sales multiple** to **2027E revenue of \$70.811 million**, producing an EV/Sales target price of **\$9.95**.
- DCF is used as a conservative cross-check because explicit forecast free cash flow remains negative; the DCF Base case target price is **\$1.39**.
- The final valuation uses **80% EV/Sales** and **20% DCF**, producing a final weighted target price of **\$8.24**.

Suggested Chart/Table

Use the final valuation summary table with Bear/Base/Bull target prices from EV/Sales, DCF, and the weighted valuation.

Scenario	EV/Sales Target Price	DCF Target Price	Weighted Target Price
Bear	\$7.08	\$1.34	\$5.93
Base	\$9.95	\$1.39	\$8.24
Bull	\$13.78	\$1.57	\$11.33

Speaker Notes

The valuation framework is deliberately conservative. EV/Sales is the primary anchor because D-Wave is still in the commercialization phase, while DCF is only a cross-check because most of the forecast period still has negative free cash flow. The model caps the EV/Sales multiple rather than applying the raw peer median, which would mechanically overstate value because quantum peers have very small revenue bases.

Slide 4. Market-Implied Expectations: Current Price Versus Model

- Current share price used: **\$22.35**.
- With **370.03 million shares outstanding**, current market capitalization is **\$8,270.171 million**.
- After net cash of **\$848.522 million**, implied enterprise value is **\$7,421.649 million**.
- On **2027E revenue of \$70.811 million**, the market implies **104.81x EV/Sales**.
- To justify the current enterprise value, revenue would need to be **\$185.541 million at 40.0x EV/Sales** or **\$123.694 million at 60.0x EV/Sales**.

Suggested Chart/Table

Use a market-implied valuation table comparing 2027E model revenue, implied EV/Sales, revenue required at 40.0x, and revenue required at 60.0x.

Metric	Value
Current Share Price	\$22.35
Current Market Capitalization	\$8,270.171
Implied Enterprise Value	\$7,421.649
Implied EV/Sales on 2027E Revenue	104.81x
Revenue Required at 40.0x EV/Sales	\$185.541
Revenue Required at 60.0x EV/Sales	\$123.694

Speaker Notes

The current market price embeds expectations that are materially above the model's Base case. The market-implied EV/Sales multiple of 104.81x is far above the capped 40.0x Base case multiple. Alternatively, D-Wave would need a much higher revenue base than the 2027E forecast to justify the current enterprise value at high-growth EV/Sales multiples. This gap supports the downside conclusion from the final target price.